

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

**COMPLAINANT SAMSUNG ELECTRONICS AMERICA, INC.’S
RESPONSES TO THE ALJ’S MARCH 12, 2025
ORDER FOR SUPPLEMENTAL INFORMATION**

Complainant Samsung Electronics America, Inc. (“SEA”) submits this response to the Presiding Officer’s Order For Supplemental Information, dated March 12, 2025 (the “Order”).

As a preliminary matter, SEA is grateful for the opportunity to provide this supplemental information to the Presiding Officer as the evidence submitted in this proceeding is indeed extensive. The parties have fundamentally different views on the obligations and burdens under the 46 U.S.C. § 41102(c). SM Line, and subcontractors acting on its behalf during carrier haulage moves, imposed (wrongfully in SEA’s view) over \$14 million in demurrage and detention charges on SEA during the pandemic. SM Line will not concede any of it was wrongfully imposed or collected and this has also meant the parties were indeed unable to narrow the issues for hearing,

as noted in the Order. SEA is committed, in the responses to questions 1-20, *infra*, to share the benefit of its knowledge of the probative evidence before the Presiding Officer that will lead to a finding of SEA meeting its evidentiary burdens on its Complaint counts and finding SM Line did not meet its affirmative defense burdens.

SEA also shares the Presiding Officer's interest in conducting a fair hearing in accordance with the Administrative Procedure Act.¹ SEA has been a demonstrated proponent of the development of a full and fair record for decision in this proceeding, and as evidenced by SEA's pending Spoliation Motion, SEA shares some of the ALJ's concerns about the development of the record in this proceeding.

This is especially true in light of the applicable burdens of production and proof relevant to the causes of action under 46 U.S.C. § 41102(c), as interpreted following 46 C.F.R. § 545.5. SEA has adduced evidence sufficient to show that SM Line's demurrage and detention practices constitute *prima facie* unreasonable practices violations, and as such the burden of production shifts to SM Line to show evidence, if it can, of legitimate justifications for its actions under the Shipping Act. SEA's unreasonable practice causes of action are not based on the existence of, or terms of, alleged service contracts between SM Line and third parties. SEA is a consignee of cargo shipped under through bills of lading that was charged demurrage and detention for marine terminal and inland transportation charges in circumstances when SEA was not even responsible for movement of the cargo. SM Line caused SEA to incur charges when SM Line failed to move the cargo. That allowed SM Line to "maximiz[e] income by recognizing it as an opportunity to

¹ With respect to the evidence in this matter, SEA respectfully submits that neither the APA nor the FMC require a complainant to narrow issues for hearing by admitting proposed facts that a respondent has failed to support with evidence within the proceeding, nor is a complainant required to admit or concede the relevance, admissibility, or authenticity of a respondent's supposed evidence where the respondent has failed to meet evidentiary standards.

generate additional income” (Dkt. No. 57, SEA Motion for Leave to Continue the Rule 143(b)(6) Deposition, at 6-7; Dkt. No. 134, SEA Supplemental Brief to Address the Testimony of Mr. Yoon-Jai Mark Lee, at 2-3), but charging a party that cannot move the cargo did not and cannot incentivize the movement of cargo or freight fluidity.

To the extent that SM Line purports to have alleged justifications or perhaps other factors or “extenuating circumstances” under 46 C.F.R. § 545.5 that it seeks to prove in its defense, it is SM Line’s obligation to have produced that information in discovery and developed that evidence. For example, if SM Line wanted to rely on purported service contracts in its defense, or as purported justifications for its practices, it was SM Line’s burden of production to properly introduce and authenticate said contracts during the discovery process. It failed to do so. So, while SEA acknowledges the Presiding Officer’s instruction that “[t]his order is not intended to extend the deadline within which to complete discovery,” if the Order permits new evidence to be introduced at this juncture it appears that would be the effect and this raises evidentiary concerns.²

² For the sake of good order, when the Commission reviews this record, SEA objects to the extent that either party is directed or permitted to use these responses as an opportunity to introduce new evidence into this proceeding for which the other has not had the opportunity to review, question, or verify the authenticity thereof. Additionally, SEA states a general objection to the propriety of an order requiring written responses to the extent it requests the introduction of new documents into this proceeding, well after the close of discovery and which SEA has not had an opportunity to review, authenticate, or question the validity or conduct cross-examination thereof. 46 C.F.R. § 502.202 (“Every party has the right to present its case or defense by oral or documentary evidence, to submit rebuttal evidence, and to conduct such cross-examination as may be required for a full and true disclosure of the facts.”).

As the Presiding Officer noted in footnote 1 of its Order, extensive discovery was conducted by the parties. With respect to documents, the discovery phase provided the parties an opportunity to exchange documents in response to document requests, mark produced documents as exhibits and have the other party challenge those documents during cross-examination and/or object at depositions, and ultimately to include the documents in appendices submitted to the Presiding Officer. The submissions are made in connection with the initial brief, opposition brief, and the reply brief, and the supplemental briefing pursuant to the Order of December 6, 2024, along with the proposed findings of fact (referencing specific documents in the appendices) and responses to

If the Presiding Officer has questions for counsel at an oral hearing, or has additional written questions, or wishes to have SEA witnesses appear before her at a hearing to address information that will assist in reaching its initial decision, SEA is ready to and welcomes the opportunity. SEA also wishes to reserve the right to seek to reply to SM Line's submission in response to the Order, particularly in the event new documents are attempted to be introduced into this proceeding. With the aforementioned stated, SEA provides the following responses.

1. What is the precise number of shipments are at issue in this proceeding?

RESPONSE: 4,526. Out of the 17,084 charges after April 20, 2020, there are 4,526 containers which corresponded to 3,456 bills of lading. It is necessary to look at container numbers in conjunction with their corresponding bills of lading because container numbers are frequently reused during the course of business. This number does not include the pre-April 2020 charges, for which SEA is not claiming damages. *See* Dkt. 85, SEA Initial Brief, at 1, n. 1 (explaining SEA's claims exclude charges incurred prior to April 20, 2020); *see also* CX_005012-436, Exh. 1 to Greg Smith Expert Report Appendix.

2. What is the precise number of charges are at issue in this proceeding?

RESPONSE: 17,084. *See* CX_005012-436, Exh. 1 to Greg Smith Expert Report Appendix. SEA's claims for direct damages for over 17,084 transportation charges total \$14,536,787. Dkt. 85, SEA's Initial Brief, at 9, 56; Dkt. 102, SEA Proposed Findings of Facts

the proposed findings of fact, where objections can be raised as to the propriety of the documents. This orderly process ensures a fair proceeding and avoids trial by ambush by parties whereby new evidence is proffered or surprise witnesses testify.

These documents and the filings in the docket form the record of decision of documents from which the Presiding Officer must ultimately draw from in making its findings of fact and conclusions of law when assessing the claims and defenses of the parties. 46 C.F.R. § 502.217. Any attempt by either party to introduce new documents, in response to the Order, which were not previously submitted pursuant the discovery process described above should not be permitted.

(“SEA PFF”), at ¶ 346; CX005012-436, Exh. 1 to Greg Smith Expert Report Appendix, ¶ 47; *see also* CX_005723, SEA_SMLINE_0053658 (spreadsheet of all charges on SM Line shipments).

3. What is the date of the first and last shipment at issue in this proceeding?

RESPONSE: The date of the first invoice is for container number SMCU1201314, bill of lading number SMLMSEL0B7756701 for an equipment detention charge of \$190, with an invoice date of April 30, 2020 and a posting date of July 25, 2020. *See* CX_005136, Exh. 1 to Greg Smith Expert Report Appendix. The date of the last invoice posting date is December 30, 2022, container number SMCU1117029, bill of lading number SMLMSEL1E9285304 for a diversion charge of \$4,979.78. *See* CX_005416, Exh. 1 to Greg Smith Expert Report Appendix.

SEA references the first invoice and last invoice date in response to Question 3 because SEA is the consignee on the bills of lading for the charges at issue in this matter and SEA is not the shipper for the shipments in this proceeding.

4. State whether the record includes a container-by-container summary of the charges assessed against SEA, and, if so, specify by Bates stamp number where it is located in the record. To the extent not already done so, please produce the summary on an Excel spreadsheet.

RESPONSE: The record does include a container-by-container summary of the charges assessed against SEA. The bates number where it is located is SEA_SMLINE_0053658. CX_005723, SEA_SMLINE_0053658. This summary is included in the Appendix to Gregory Smith’s Expert Report at CX_005012-436, with supporting information as to how it was collected and authenticated from SEA’s business records. This allowed SEA’s damages expert Smith to confirm the charges SEA was forced to pay and that each and every charge was indeed paid such that reparations can be sought for the reimbursement of the monies paid.

5. State whether or not the shipments at issue in this proceeding are subject to the terms of the service contracts located at [1] RX_0002303-2315 (executed), [2] RX_0002335-2348, [3] RX_0002369-2382, [4] RX_0004523, [5] RX_0004546, and [6] RX_0004567.

RESPONSE: None of the purported service contracts listed in Question 5 are relevant or rebut SEA's showing that SM Line violated the Shipping Act in connection with the shipments of SEA goods. As such, SEA does not rely on any service contracts in its briefs. In the event SM Line's response to Question 5 contends the shipments at issue are subject to terms of any of the six documents listed, the contention should be rejected because neither SEA nor SM Line can reach such a finding based on the evidence in this proceeding:

- [1] RX_0002303-2315, [2] RX_0002335-2348, and [3] RX_0002369-2382:
 - The three documents are executed, but make **no** mention of SEA anywhere.
 - SM Line does not contend in its briefing that any of these documents applied to any of the shipments at issue.
 - FMC regulations require that an affiliate must be named in a service contract if said affiliate will be shipping cargo under the service contract. 46 C.F.R. § 530.8(b)(9). Since SEA is not named in any of these three documents, if SM Line now contends the terms applied to SEA shipments, SM Line would be admitting they shipped SEA cargo in violation of FMC regulations since SEA was not a named affiliate authorized to ship under said contracts.
- [4] RX_0004523, [5] RX_0004546, and [6] RX_0004567:
 - SEA is included in the long list of affiliates to the contracts, however none of the documents are executed or bear typical and basic indicia of finality.

- Under FMC regulations, a service contract is not in effect until all parties have executed the agreement. 46 C.F.R. § 530.3(i). Because these documents are not signed, they are not in effect, and the shipments at issue in this proceeding cannot be subject to their terms.

SM Line's opposition brief references the latter three documents, RX_0004523, RX_0004546, and RX_0004567, but it proffered no *evidence* to establish that the service contracts are final or legally binding agreements. Dkt. 109, SEA's Response to SM Line's Proposed Findings of Fact ("RPFF"), at RPFF ¶ 2 (disputing the documents referenced are legally binding service contracts). SEA's Reply Brief addressed these evidentiary shortfalls. See Dkt. 108, SEA Reply Brief, at 31. Without introducing documents that were finalized and executed by the contracting parties (despite having signature blocks available), SM Line has failed to establish that the documents constitute service contracts, much less that they would govern some or all of the SEA shipments at issue in this proceeding.

Separately, no SEA witnesses authenticated or even testified that they were familiar with them. Dkt. 108, SEA Reply Brief, at 32. In reviewing the deposition transcripts, the only party to testify regarding a service contract in any capacity was SM Line's Head of its U.S. office, K.K. Choi, who testified he was familiar with contracts generally but "didn't have any direct involvement" with negotiating them, nor was he personally involved in negotiating any agreement with "Samsung." CX_000526-42, K.K. Choi Dep. Tr. 173:3-189:3; 174:8-175:11; 182:20-25.

Furthermore, the alleged applicability of service contracts is not germane to SEA's case in chief because, as the consignee of cargoes shipped to the U.S. by overseas entities, SEA was not a party to any service contract with SM Line and it does not rely on the service contracts to meet *prima facie* burden of production to show SM Line's unreasonable practices. To the extent that

SM Line seeks to rely on service contracts as affirmative defenses or other factors justifying its conduct, it was SM Line's burden to establish any such justifications with relevant, reliable and probative evidence, but it has failed to even establish the authenticity or applicability of any of the service contracts listed above to the shipments in this proceeding. Dkt. 109, SEA's Response to RPFF, at ¶ 2 (disputing the documents referenced are legally binding service contracts).

In a proceeding before the FMC, it is well established that a complainant bears the burden of proving their allegations by a preponderance of the evidence. *Bakerly, LLC v. Seafrigo USA, Inc.*, Dkt. No. 22-17, 2024 WL 95381, *30 (ALJ Jan. 3, 2024) (*citing* 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014)). "When the party with the burden of persuasion produces sufficient evidence (characterized as a *prima facie* case), the burden of production shifts to the other party to produce evidence rebutting that case." *TCW v. Evergreen Shipping Agency (Am.) Corp.*, Dkt. No. 1966(I), 2021 WL 794708, *13 (ALJ Feb. 19, 2021); *see also* *TCW*, Dkt. No. 1966(I), 2025 WL 516256, at *7 (FMC Feb. 13, 2025) (Commission decision on remand, *citing* *Steadman v. SEC*, 450 U.S. 91, 101 (1981) ("[W]here a party having the burden of proceeding has come forward with a *prima facie* and substantial case, he will prevail unless his evidence is discredited or rebutted." (citations omitted))."

Here, SEA produced substantial evidence establishing SM Line has violated the Shipping Act, thereby shifting the burden to SM Line to rebut that showing if it can. SM Line's failure to produce valid contracts, authenticate them, establish what service contracts or terms therein are applicable, or indeed how alleged contract terms or conditions are legitimate justifications for its conduct, establishes that SM Line failed to meet its burden to show how any such purported evidence and arguments justified its conduct.

Even if SM Line had raised as a defense that the service contracts listed applied to the shipments at issue, it has also failed to meet its burden to show how such contract terms and conditions justified its conduct. A respondent has “the burden of persuasion as to their affirmative defenses, whether or not designated as such.” *Mitsui OSK Lines Ltd v. Global Link*, Dkt. No. 09-01, 2013 WL 9808669, *44 (ALJ Jul. 9, 2013). Even if SM Line had properly introduced and authenticated the documents, and how and to what they applied, SM Line still failed to show how contract terms and conditions constituted a legitimate justification or defense for charging demurrage or detention when SEA had neither opportunity nor even the ability to move containers that SM Line was responsible to move. The Commission recently rejected similar arguments in its decision on remand in *TCW*, Dkt. No. 1966(I), 2025 WL 516256, at *7-8 (FMC Feb. 13, 2025) (finding that even a “Claimant’s agreement to [] contractual provisions does not render Respondent’s detention charges reasonable” and that no amount of charges can incentivize movement of cargo if the party charged cannot move it). It is SM Line’s burden to refute SEA’s *prima facie* showing and SM Line has utterly failed to meet that burden.

6. If your answer to paragraph 5 is affirmative, please state the date on which each of the service contracts was fully executed.

RESPONSE: SEA’s response to Question 5 is negative. As previously noted, SEA is not a signatory to the service contracts cited in Question 5. Moreover, SEA does not have access to authenticated, executed copies of the service contracts SM Line may contend apply to shipments in this proceeding. CX_002719-21, Rapske Dep. Tr. 107:22-109:20 (explaining that SEA did not have access to service contracts with ocean carriers); see CX_002447, SEA 143(b)(6) Dep. Tr. 200:8-13 (SEA’s corporate witness, Jeung Choi, explaining that SEA does not have access to service agreements by an ocean carrier and Samsung entity as a matter of corporate form). For

these reasons, the date on which the service contracts were fully executed cannot be provided by SEA.

7. **If your answer to paragraph 5 is affirmative, please provide fully executed copies of each service contract to the extent not already in the record along with any other documentation showing that the agreements were fully executed, including but not limited to emails.**

RESPONSE: SEA's response to Question 5 is negative. SEA has not found any "fully executed copies of service contracts" which SM Line (or SEA) introduced as evidence in this proceeding. To the extent SM Line attempts to introduce "fully executed copies of each service contract" now, as new evidence, SEA restates and incorporates herein its evidentiary reservation at footnote 2. SEA raises this issue because SM Line did not produce authenticated and executed agreements during the discovery phase of the proceeding and SEA will not have had an opportunity to examine, authenticate, or question SM Line about these documents.

Additionally, as discussed above, SEA cannot provide fully executed copies of each service contracts because SEA did not negotiate, author, or sign these contracts and does not have copies of them in its possession. Dkt. 108, SEA Reply Brief, at 31-32; Dkt. 102, SEA PFF, at ¶¶ 26, 82 (SEA does not contract with ocean carriers like SM Line); Dkt. 109, SEA Response to RPFF, at ¶¶ 1-3, 41 (the purported contracts are not executed and do not establish SEA's connection to the contract parties); CX_002719-21, Rapske Dep. Tr. 107:22-109:20 (explaining that SEA did not have access to service contracts with ocean carriers).

8. **If your answer to paragraph 5 is affirmative, for each contract please identify the Samsung entity that executed the agreement and describe the legal relationship between SEA and each Samsung entity during the relevant time frame.**

RESPONSE: SEA's response to Question 5 is negative. Because the answer to Question 5 is negative, the Presiding Officer has not asked SEA to "identify the Samsung entity that executed

the agreement”, nor can SEA “describe the legal relationship between SEA and each Samsung entity during the relevant time frame” because there was no Samsung-executing entity in service contracts properly within the record.

To the extent SM Line attempts to introduce “fully executed copies of each service contract” now, as new evidence, SEA restates and incorporates herein its evidentiary reservation at footnote 2. Furthermore, because SEA does not have copies of the fully executed service contracts with other Samsung entities where SEA’s name appears, SEA cannot identify the Samsung entities that may have executed the agreements.

Or, if SM Line asserts that the Samsung entities that are party to the documents listed in Question 5 are [REDACTED] and [REDACTED], SEA states that [REDACTED] and [REDACTED] negotiate ocean rates with ocean carriers such as SM Line. CX_002713; CX_002738-39, Rapske Dep. Tr. 101:2-10; 126:23-127:6 (stating that [REDACTED] negotiate ocean rates). However, SM Line has not shown through authenticated evidence that SM Line had a service contract with any Samsung entity. Dkt. 108, SEA Reply Brief, at 31-32. Moreover, as SEA explained in its response to SM Line RPFF ¶ 1, Mr. Jeung Choi, SEA’s corporate designee, did not confirm that [REDACTED] had service contracts with SM Line but rather stated that “[t]here is no contract with SEA and the ocean carrier” ... “[t]here is no contract per my understanding with [REDACTED]. There is no contract per my understanding for [REDACTED] and also [REDACTED].” Dkt. 109, SEA Response to RPFF, at ¶ 1; CX_002293, SEA 143(b)(6) Dep. Tr. 46:3-8. Instead, Mr. Choi testified “[n]ow, I’m aware that [REDACTED] and the ocean carrier *may* have a contract. [REDACTED] *may* have a contract with ocean carriers.” CX_002295, SEA 143(b)(6) Dep. Tr. 48:5-9 (emphasis added). As such, there is no authenticated evidence that SM Line executed a

service contract with a Samsung entity and it is not possible to comment on the relationship between these undetermined entities and SEA.

To the extent that SM Line does contract with Samsung entities, such entities are foreign Samsung affiliates. They are separate legal and operational entities from SEA. There is no legal relationship between SEA and any foreign Samsung affiliates that involves a service contract other than that SEA may be named as an affiliate in a service contract signed by one of those entities, allowing SEA to be named as a consignee on a bill of lading where one of these Samsung affiliates is listed as the shipper. Dkt. 102, SEA PFF, at ¶¶ 5, 25-26, 82 (SEA does not contract with ocean carriers for transportation; it may be named the consignee on the designated bills of lading). As addressed further in SEA's response to Question 9 below, a contracting shipper may name its affiliates to a service contract to allow those affiliates access to the service contract rates, but the named affiliate is simply a third-party beneficiary of the contract.

9. If your answer to paragraph 5 is negative, please explain why the parties are not bound by the terms of the service contracts referenced in paragraph 5.

RESPONSE: SEA's response to Question 5 is negative. Moreover, in response to Question 5, SEA addresses why it cannot be bound by any of the service contracts listed. Even for the three unexecuted service contracts where SEA is listed as an affiliate (*i.e.*, [4] RX_0004523, [5] RX_0004546, and [6] RX_0004567), naming SEA as an affiliate to a service contract simply permits named affiliates to access rates contained therein should they chose to do so. It does not make SEA a signatory to an agreement or thereby bound to its terms. Analogous to general contract law, SEA may be a "third-party beneficiary ... who, although not a party to the contract, the contracting parties intended to benefit from the contract." *Am. United Logistics, Inc. v. Catellus Dev. Corp.*, 319 F.3d 921 (7th Cir. 2003) (citations omitted). This concept is mirrored in the Shipping Act, where the Commission has confirmed "the basic concept that the only entity which

can be a party to a contract is one which signs the contract. Other affiliated entities may take advantage of the provisions of a service contract as a third-party beneficiary, if named as an affiliate pursuant to proposed § 581.4(a)(1)(vi), but they are not obligated under the contract itself unless they too have signed it.” *Final Rule on Service Contracts*, 52 Fed. Reg. 23989 (Jun. 26, 1987). Despite various updates to the regulations, the underlying concept behind affiliates to a service contract has remained unchanged.

- 10. If you answer to paragraph 5 is negative, please identify all service contracts governing the shipments at issue in this proceeding, state what Samsung entity executed each agreement, and describe the legal relationship between SEA and the Samsung entity that executed the agreement. Provide fully executed copies of each service contract identified.**

RESPONSE: SEA’s response to Question 5 is negative. To the extent SM Line attempts to introduce “all service contracts governing the shipments at issue in this proceeding” now, as new evidence, SEA restates and incorporates herein its evidentiary reservation at footnote 2.

Moreover, SEA is a receiver of cargo; it is not a party to service contracts, does not negotiate service contracts, and does not have visibility into the service contracts between SM Line and any other entities. CX_002701-02, Rapske Dep. Tr. 89:15-90:1; CX_002295; CX_002446-47, SEA 143(b)(6) Dep. Tr. 48:2-9; 199:10-200:13 (SEA does not negotiate services contracts with ocean carriers and does not have access to service contracts between SM Line and foreign Samsung affiliates). As a result, SEA cannot and did not identify or produce any service contracts that would be relevant to this proceeding or identify the individual entities that may have negotiated and entered a particular service contract with SM Line. CX_002295; CX_002446-47, SEA 143(b)(6) Dep. Tr. 48:2-9; 199:10-200:13 (SEA does not negotiate services contracts with ocean carriers and does not have access to service contracts between SM Line and foreign Samsung affiliates).

Further, as noted in SEA's response to Question 5, the record does not support the conclusion that a specific service contract governed the shipments at issue in this proceeding. SM Line failed to provide any evidence supporting the application of a service contract to any of the shipments and failed to introduce or authenticate any service contracts through deposition of SEA or SM Line witnesses. It is, however, undisputed in the record that SM Line issued combined or through bills of lading to inland destinations, as demonstrated by bills of lading in the record. Dkt. 109, SEA Response to RPFF, at ¶ 8 (admitted in part) (asserting that the majority of the bills of lading issued by SM Line were on a "CY/Door" basis); CX_000382, K.K. Choi Dep. Tr. 29:10-16 ("Q. Under a combined bill of lading issued by SM Line, does SM Line arrange the inland transportation? . . . A. Yes. When customers make a request for that for those areas where we can provide service for, we do.").

This is not a breach of contract dispute. SEA has not alleged a breach of a service contract by SM Line and SM Line has not raised any affirmative defense related to a service contract between the parties. Rather, SEA has alleged that SM Line violated 46 U.S.C. § 41102(c) of the Shipping Act by unlawfully charging detention and demurrage on store door moves and its practice is inconsistent with the FMC's Interpretive Rule and incentive principle, a claim involving elements "peculiar to the Shipping Act." Even if SM Line had established a specific service contract applied to the shipments at issue in this proceeding, the Commission has clearly explained "[o]cean carriers . . . do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c)." *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed. Reg. 29639, 29649 (May 18, 2020) (codified at 46 C.F.R. § 545.5) ("Interpretive Rule"); *see also* TCW, 2025 WL 516256, at * 8.

11. State whether the service contracts governing this proceeding were filed with the Federal Maritime Commission.

RESPONSE: Only SM Line can file a service contract with the FMC. As such, SEA is not in a position to answer Question 11. Moreover, SEA did not have copies of any SM Line service contracts. CX_002719-21, Rapske Dep. Tr. 107:22-109:20; CX_002447, SEA 143(b)(6) Dep. Tr. 200:8-13 (explaining SEA does not have access to the service contracts between SM Line and foreign Samsung affiliates).

12. Identify all tariffs applicable to the shipments at issue in this proceeding. Provide copies of all applicable tariffs to the extent not already in the record.

RESPONSE: As best SEA can discern, SM Line attempts to contend a Customer Nominated Trucker (“CNT”) tariff is applicable to shipments in this proceeding. SEA challenged this argument in its 2024 briefing and addresses the issue more fully in response to Question 14 where the Presiding Officer references “SM Line Tariff Rule SMLine_700 at RX_0004483–84.”

In response to Question 12, SEA submits the shipments at issue in this proceeding moved under contract(s), not tariffs, and therefore SEA cannot identify any tariffs applicable to the shipments. But SM Line has failed to establish that any service contracts governed the shipments in this proceeding or that any service contracts are relevant to SEA’s claims, and further has not raised any affirmative defense related to a service contract. SM Line’s failure to meet its burden of production as to whether a service contract governed the shipments at issue in this proceeding does not establish that the shipments moved under tariff – it simply shows SM Line failed to meet its burden. SEA’s claims are not based on any tariff provisions. To the extent that SM Line’s defenses are based on tariffs, it is SM Line’s burden, as noted in SEA Response to Question 7 and footnote 2 of this submission, to produce authenticated, applicable tariffs during discovery and it

would be inappropriate for SM Line to now submit new evidence SEA has not had an opportunity to authenticate or cross examine SM Line about.

Further, the stated purpose of tariffs per FMC regulations is to permit “[s]hippers and other members of the public to obtain reliable and useful information concerning the rates and charges that will be assessed by common carriers ... for their transportation services.” 46 C.F.R. § 520.1(b)(1). The mere fact that a tariff is published does not make the tariff lawful or, as noted in the FMC’s Interpretive Rule, “provide carriers with an irrebuttable excuse for alleged violations of the Act.” *Interpretive Rule*, 85 FR 29638, 29645; *see also Hapag-Lloyd, A.G. & Hapag-Lloyd (Am.) LLC - Possible Violations of 46 U.S.C. § 41102(c)*, Dkt. No. 21-09, 2022 WL 1239377, at * 41 (finding a violation of the Shipping Act where a carrier charged detention in accordance with its tariff on days when sufficient empty return appointments were not available). SEA’s claims in this proceeding allege SM Line’s practices and procedures for charging detention and demurrage were unreasonable and in violation of the Shipping Act.

The record in this proceeding does not establish that any SM Line tariff provisions applied to SEA shipments, however, even if it did establish that a particular tariff applied, the Commission recently advised presiding officers it should be leery of overreaching contractual or tariff language pronouncements by ocean carriers. “The Commission has further emphasized the importance of closely scrutinizing detention and demurrage contract provisions when adopting the Interpretive Rule, as ‘there is reason to question whether demurrage and detention practices are normally the subject of arms-length negotiation between parties with remotely equal bargaining power,’ given that most shippers and their intermediaries, even large commercial players, ‘lack significant bargaining power as compared to ocean carriers.’” *TCW*, 2025 WL 516256, at * 8 (quoting the Interpretive Rule, 29648-49).

- 13. State whether or not the applicable tariff was incorporated by reference into the applicable service contracts, and provide a pin-point citation to each provision in which the incorporation by reference has been made.**

RESPONSE: SEA submits there is no “applicable tariff” concerning shipments in this proceeding. SEA expects SM Line may attempt to submit in response to Question 13 that multiple tariff rules were incorporated by reference into three of the documents referenced in Question 5, specifically [4] RX_0004523, [5] RX_0004546, and [6] RX_0004567. However, it does not matter whether these documents reference any particular SM Line tariff rules, because SM Line has failed to establish that the unsigned documents are service contracts applicable to any of the shipments in this proceeding.

Nevertheless, any SM Line purported detention and demurrage tariffs have no bearing on SEA’s claims in this proceeding because the charges at issue in this proceeding were carried under store-door terms. Dkt. 102, SEA PFF, at ¶¶ 6, 21-22, 66-67, 75-78 (SEA cargo moved under through bills of lading where SM Line was responsible for delivery to the inland destination); CX_000007, SEA Compl. at ¶ 28 (SEA cargo moved under store door terms); CX_000022, Answer at ¶ 28 (admitted except as to parenthetical); *see, e.g.*, CX_005440, Expert Report of Gregory E. Smith dated Feb. 21, 2024 (“Smith Report”), Ex. 4.2 (representative SM Line bill of lading designating the U.S. “PORT OF DISCHARGE” as Long Beach, CA and the inland “PLACE OF DELIVERY (BY ON CARRIER)” for “multimodal or through transportation” as Ontario, CA. The waybill is also marked as “=FREIGHT PREPAID=CY/Door”). As discussed in response to Question 12, referencing a tariff rule does not make it lawful, especially in boilerplate language contained in terms and conditions issued unilaterally by an ocean carrier.

14. State whether the shipments at issue in this proceeding are subject to SM Line Tariff Rule SMLine_700 at RX_0004483–84.

RESPONSE: The shipments at issue in this proceeding, shipments of SEA cargo, are not subject to SM Line’s purported CNT (“Customer Nominated Trucker”) rule, SM Line Tariff Rule SMLine_700 at RX_0004483–84.

SM Line’s corporate witness did not even testify that this purported CNT tariff applied to SEA. CX_000213-15, SM Line 143(b)(6) (Session II) Dep. Tr. Dep. Tr. 164:24-166:3 (testifying SEA never signed or agreed to the CNT tariff); Dkt. 109, SEA Response to RPFF, at ¶¶ 36, 41 (explaining that the aforementioned Tariff Rule was not applicable to nor incorporated into the purportedly applicable service contracts). Moreover, SM Line’s course of conduct during the relevant 2020-2022 time period reveals SM Line acknowledged and had control of SEA goods throughout the supply chain process through final inland destination. SM Line vetted and approved the use of nominated truckers (Dkt. 102, SEA PFF, at ¶¶ 50, 53, 58 (admitted by SM Line)); SM Line sent arrival notices, dispatched work orders, and sent daily last free day notices to CNTs (Dkt. 102, SEA PFF, at ¶ 63 (admitted by SM Line)); SM Line paid the CNTs the rates agreed upon between the CNT and SM Line (Dkt. 102, SEA PFF, at ¶ 66 (admitted by SM Line)); and SM Line was the key point of contact when a CNT experienced issues (Dkt. 102, SEA PFF, at ¶ 65 (admitted in part); CX_004516, SM Line 143(b)(6) Session I Dep. Ex. 4).

In contrast to SM Line’s actions, it is undisputed that SEA’s business model was set up for cargo to be imported under store door terms, a model which relied on ocean carriers such as SM Line to deliver SEA’s cargo to the final inland destination. By design, SEA did not have infrastructure in place to manage inland transportation of containers after discharge from oceangoing vessels. Dkt. 102, SEA PFF, at ¶ 33. Nor did SEA have a dispatch operation to

schedule trucking appointments and SEA did not have any contracts with truckers who could handle inland transportation of cargo. Dkt. 102, SEA PFF, at ¶¶ 34-35.

Despite the evidence to the contrary and well-established industry standards, SM Line contends there is a distinction between “pure door” moves and “CNT door” moves whereby the consignee is responsible for the door delivery when a CNT is involved. Dkt. 102, SEA PFF, at ¶ 76 (SM Line claiming it is only responsible for inland movement of cargo under a through bill of lading for “pure door” moves). This manufactured distinction radically departs from the established industry standard for “door moves” or “carrier haulage,” defined by the FMC as when “the ocean carrier is responsible for arranging transport of a container from the terminal to another location, such as a consignee warehouse.” *Interpretive Rule*, 85 Fed. Reg. 29638, 29664.

In reality, SM Line was responsible for moving SEA’s goods and there was no legal or relevant difference between how SM Line handled store door moves involving a house trucker and store door moves involving a CNT. Dkt. 102, SEA PFF, at ¶ 63 (admitted by SM Line) (documentation sent by SM Line to CNTs and house truckers was identical). Moreover, SM Line’s CNT tariff provides that its base rates for store door delivery include inland services (i.e. any detention and demurrage is SM Line’s responsibility).

Generally, a shipper or consignee recommends or nominates a CNT trucker for the inland movement of cargo. Dkt. 85, SEA Initial Brief, at 39; Dkt. 102, SEA PFF, at ¶ 46. But SM Line was not required – as it admitted during depositions – to use a CNT recommended or nominated in connection with SEA cargo, but rather SM Line evaluated and decided whether to accept or reject a CNT. Dkt. 102, SEA PFF, at ¶ 47 (*citing* CX_000413-14, K.K. Choi Dep. Tr. 60:21-61:25; CX_004805, Solarez Dep. Ex. 12 at 1 (“Longdo is Samsung’s preferred trucker to Manteca, CA ... But per SELRKT, it’s our choice to use any trucker to this location.”); *see* CX_002352, SEA

143(b)(6) Dep. Tr. 105:6-13 (SEA explaining it recommends truckers based on experience but does not mandate their use).

15. Identify all agreements in which SM Line agreed to provide shipping services at “super all-in rates,” and/or “store door” terms with respect to the shipments at issue. Provide fully executed copies to the extent not already in the record.

RESPONSE: SM Line’s carriage of SEA goods under store door bills of lading is not a disputed issue in this proceeding. Dkt. 109, SEA Response to RPFF, at ¶ 8 (admitted in part by SEA) (asserting that the majority of the bills of lading issued by SM Line were on a “CY/Door” basis). SM Line’s 143(b)(6) witness, K.K. Choi—the head of all of SM Line’s U.S. operations during the relevant 2020-2022 timeframe—testified that a SM Line bill of lading, representative of those for shipments at issue in this proceeding, was for store door delivery. CX_000058-60, SM Line 143(b)(6) (Session I) Dep. Tr. 30:8-32:11; CX_004513, SM Line 143(b)(6) (Session I) Dep. Ex. 2. The parties agree that under store door terms, which apply to store door bills of lading, SM Line was also responsible for the inland movement of SEA’s cargo. Dkt. 109, SEA Response to RPFF, at ¶ 9 (admitted by SEA that under store door terms SM Line was “responsible for arranging, paying for, and managing inland movement.”)

To the extent SM Line disputes SEA shipments were moved under store door terms, it does so by asserting that “[s]tore door move does not mean carrier haulage,” while at the same time admitting “in case of carrier haulage, an ocean carrier is typically responsible to manage and control and essentially be responsible for the in-land transportation service.” Dkt. 105, SM Line Response to SEA PFF, at ¶ 21. SM Line’s contention that “store door move” does not mean “carrier haulage” directly conflicts with the FMC’s discussion of “carrier haulage” in the Interpretive Rule, specifically that “[i]n a carrier haulage arrangement, also referred to as “store door” delivery or a “door move” or “door-to-door” transportation, the ocean carrier is responsible for arranging

transport of a container from the terminal to another location, such as a consignee warehouse. In other words, the ocean carrier provides drayage trucking. In contrast, in a “merchant haulage” arrangement, also known as CY (container yard) or port-to-port transportation, the shipper makes the trucking arrangements.” *Interpretive Rule*, 85 Fed. Reg. 29638, 29664. Notwithstanding SM Line’s arguments to the contrary, the record clearly shows that SM Line moved SEA cargo under a “carrier haulage” arrangement.

SM Line testified that it understood that store door terms mean that inland transportation rates, i.e., the trucker and the railroad fees, are included in a “super all-in” ocean freight door term rates negotiated by foreign SEA affiliates in Korea, not negotiated or paid by the consignee. Dkt. 105, SM Line Response to SEA PFF, at ¶ 30 (admitted in part by SM Line). Similarly, SEA testified it that it understood that when SM Line and foreign SEA affiliates in Korea negotiated rates, the rates were for “super all-in” door moves, which include “the ocean freight [charges] and the trucker and the railroad fees” as well as “other destination charges like terminal handling.” Dkt. 102, SEA PFF, at ¶ 57; CX_002317-18, SEA 143(b)(6) Dep. Tr. 70:3-71:7. Per the Initial Order in this proceeding, any material fact sufficiently supported is deemed admitted unless “specifically disputed by citation demonstrating the existence of a genuine issue as to the fact.” Dkt. 10, Initial Order, at ¶ 17. There is no contrary evidence SM Line points to in the record disputing SEA’s shipments moved under “store door” terms or “super all-in rates.”

16. Please state whether or not SEA is the consignee on the bills of lading at issue in this proceeding, and if not identify its role with respect to the shipments at issue.

RESPONSE: It is undisputed that SEA is the consignee on the 3,456 bills of lading at issue in this proceeding. Dkt. 85, SEA Initial Brief, at 6; Dkt. 102, SEA PFF, at ¶ 5 (citing CX_000007, SEA Compl. ¶ 27) (admitted by SM Line); Dkt. 91, SM Line Reply Brief, at 4 (“SEA

was at all times the consignee on the cargo shipped...”); Dkt. 109, SEA Response to RPFF, at ¶ 5 (explaining SEA was the consignee on the SEA bills of lading used in the carriage of cargo at issue in this proceeding); CX 002721, Rapske Dep. Tr. 109:10-11; CX_003002, Fernando Dep. Tr. 73:6-12 (explaining SEA was listed in Box 2 of a SEA bills of lading used in the carriage of cargo of the shipments at issue in this proceeding).

17. Explain what the document titled “LPS Direct Ship Operation” at RX_0001199 is, state when it was created, state how it was used by SEA, and state whether it was used to train SEA employees, and, if so, when.

RESPONSE: RX_0001199 is the slide from the document entitled “Introduction to LPS Direct Ship Operation” (what SM Line refers to as the “SEA CNT Manual”) that provides information on CNT truckers and house truckers. Dkt. 109, SEA Response to RPFF, at ¶ 71. In regard to its creation, metadata for the document shows it was created on July 19, 2019. In regard to “how it was used by SEA, and state whether it was used to train SEA employees, and if so, when”, RX_0001199 was not introduced by SM Line during any SEA deposition in order to elicit any testimony in regard to its creation, use by SEA, training of employees, or the like (or by SEA on redirect). As such, the information’s inclusion now faces the same evidentiary concern, as articulated in the footnote 2 evidentiary reservation.

Subject to the footnote 2 evidentiary reservation, to answer the question of the Presiding Officer, SEA has investigated RX_0001199 in respect to how it was used and in connection with training, if any. Mr. Jeung Choi, SEA’s 143(b)(6), corporate designated witness, has prepared a declaration addressing the questions raised. His investigation reveals that the general overview slide show was used by a unit manager on two separate occasions to discuss with three new employees SEA’s cargo supply chain processes. Attachment A, J. Choi Declaration dated April

1, 2025 at ¶¶ 1-8; CX_005724 (cover email providing presentation from training); CX_005738 (cover email providing presentation for discussion).

Regarding RX_0001199, SM Line attempted to use a slide, “Introduction to LPS Direct Ship,” as evidence that SEA “acknowledged” or agreed to SM Line’s argument that SM Line was permitted to shift all responsibility to SEA to pay for D&D charges when SM Line had received a recommendation to use a CNT. Dkt. 103, SM Line Brief, at 5. That is preposterous. The slide plainly does not indicate anything like that. Dkt. 108, SEA Reply Brief, at 50. This is another version of the same unsubstantiated argument premised on the existence of CNTs somehow resulting in legal distinctions that do not in fact exist. Further, the same slide makes clear that SEA did not negotiate rates between an ocean carrier and a trucking company because everything is prepaid “Door to Door delivery.” *Id.*, at 51. As SEA explains in its reply brief, SM Line remained responsible to hire CNTs, manage CNTs, pay CNTs, and pay for associated D&D charges therefrom. *Id.*, at 43-52.

18. Set forth the conditions of carriage on SM Line’s standard bill of lading for the shipments at issue.

RESPONSE: SEA has not found any “conditions of carriage on SM Line’s standard of lading for shipments at issue” submitted in this proceeding. To the extent SM Line attempts to supplement the record with new documents, SEA restates and incorporates herein its evidentiary reservation in footnote 2.

SEA’s claims are not based on SM Line’s standard bill of lading terms and conditions, nor did SM Line raise its standard bill of lading terms and conditions in support of any affirmative defenses. Throughout briefing, the only reference to any SM Line bill of lading terms and conditions is found in SM Line’s proposed finding of fact no. 42. RPFF ¶ 42 cites to a document, RX_0002301, as the terms and conditions which SM Line alleges are incorporated and applicable

to the bills of lading on which SEA is named a consignee. Dkt. 104, RPFF, at ¶ 42 (SM Line asserting tariffs are incorporated in bills of lading by citing to RX_0002301). It appears to be an unlabeled two-page document titled “Conditions of Carriage” which contains only generic references to “carriers” and shippers” throughout. Dkt. 109, SEA Response to RPFF, at ¶ 42. Significantly and bizarrely, there is not a single reference to SM Line anywhere on the document. RX_0002301. Further, the document is not dated, so it is impossible to determine whether RX_0002301 would have been the current version of the document during the relevant time period (i.e. 2020, 2021, or 2022). If SM Line intended to rely on RX_0002301 as representing terms and conditions applicable to SEA shipments, SM Line should have introduced the document during a deposition so that a witness with personal knowledge could identify, authenticate, and explain its background and purpose.

- 19. State whether or not SEA paid the following invoices that it now claims that SM Line billed in violation of OSRA: CX_005597, CX_005598, CX_005599, CX_005600, CX_005595, CX_005596. To the extent payments were made, supplement the record with proof of payment.**

RESPONSE: SEA did not pay the invoices listed in Question 19. As such, it does not seek to be reimbursed for these 6 invoices and they are not included in the container-by-container summary of the charges assessed against SEA at bates number SEA_SMLINE_0053658, as addressed more fully in Response to Question 4. Rather, SEA seeks an Order enjoining SM Line from seeking to collect on these invoices and issuing this type of invoice to SEA in the future. *See* Dkt. 1, SEA Compl., Section X, PRAYER FOR RELIEF, Number 3, “Ordering that Respondent cease and desist from the unlawful conduct.”

- 20. State whether or not SEA disputed any of the charges at issue prior to putting SM Line on notice that it intended to file a complaint under the Shipping Act. If charges were disputed, please identify the charge disputed, provide the container number that incurred the charge, and set forth the date and manner in which each charge was disputed. Provide copies of all documents related to**

the dispute, including but not limited to emails in which charges were disputed by SEA or reflect actions taken by SM Line in response.

RESPONSE: SEA repeatedly disputed SM Line’s practices and resulting charges at issue prior to putting SM Line on notice that it intended to file a complaint under the Shipping Act. *See. e.g.,* CX_001781, Gaston Tr. 128:5-24 (SEA disputed SM Line demurrage charges); CX_002323-33, SEA 143(b)(6) Dep. Tr. 76:13-86:7 (testifying that there were specific charges disputed at the time, and that although “I can't remember every single invoice that was disputed on what days it was,” testifying repeatedly that “I have told you over and over again we never agreed that this is our responsibility” and “I am going to say this one more time. We never agreed to those charges.”); CX_003065, Fernando Dep. Tr. 136:6-13 (“Yes. For sure” there were disputed charges); CX_001337-38, Askins Dep. Tr. at 42:21-43:9 (testifying SEA had issues with invoices and disputed detention invoices); CX_002819, Goedinghaus Dep. Tr. at 46:1-6 (confirming there was an increase in disputes regarding detention and demurrage from 2019 to 2020, which continued through 2022).

Disputing individual invoices and charges was a futile effort, however, because SM Line was applying the same unreasonable charging practice to all demurrage and detention charges and because the billing coordinators at SM Line had no authority to waive or mitigate demurrage and detention charges—as a result SEA was compelled to pay in advance to receive their cargo. CX_002692-93, Rapske Dep. Tr. 80:15-81:14. (“So the billing coordinators at SM Line, when we reached out to them, did not have authority to override anything or any decisions.... The people on the ground that my operations team would speak with didn't have any authority to override anything, and they were just given direction that you pay or your container doesn't move.... We were basically forced to pay in advance.”). Indeed, the “only” reason that SEA paid the charges upfront was because it had to do so to get its cargo. CX_002435, SEA 143(b)(6) Dep. Tr. 188:9-

22 (testifying that the charges under door moves should not have been invoiced to SEA, and “[t]he only reason that SEA would have processed or paid was to move those containers.”).

As a result, while SEA initially attempted to review demurrage and detention charges as they accrued and prior to making payments, and questioned and disputed escalating charges, ultimately SEA had no choice but to pay demurrage upfront in order to keep the containers moving. CX_002682, Rapske Dep. Tr. 70:10-23; (“So, in the beginning, we were trying to review and we were trying to see if we could discuss the situation. We were unsuccessful at doing that, about challenging the charges at the time,” and ultimately had to “go ahead and clear the outstanding demurrage so we can keep our containers moving.”); CX_003080-81, Fernando Dep. Tr. 151:10-152:18 (in the face of increasing delays and charges, SEA ultimately paid charges on a “blanket” basis in order to get its containers, “but it doesn't mean that we [were] agreeing that we should be paying.”). SEA considered all of the charges as paid under protest. CX_002427-28, SEA 143(b)(6) Dep. Tr. 180:19-181:14 (“Everything was just paid to move the boxes. So it wasn't because we were responsible for them. So if your question is, were they under protest, yes.”). Thus, while SEA disputed many of the charges, with over 17,000 individual charges at issue in this proceeding, there is no consolidated list which goes charge by charge and addresses when and how any given charge was disputed.

SM Line contends pursuant to some perceived issue of fairness that SEA should have disputed all of the charges at issue, but as a threshold consideration, disputing a practice or an invoice has never been a prerequisite to filing a Shipping Act complaint. Commission precedent is clear that traditional common law doctrines of waiver and estoppel do not preclude bringing a complaint under the Shipping Act. *See Ceres Marine Terminals Inc. v. Maryland Port Administration*, Dkt. No. 94-01, 2001 WL 1085428, *18 (FMC Aug. 15, 2001) (Commission

declined to bar a complaint based on waiver and estoppel since through the Shipping Act “Congress set forth numerous prohibited acts” and Congress could have prohibited filing of a complaint in specific instances but failed to do so.).³

In sum, whether SEA disputed each and every charge or invoice at issue in this proceeding at the time (although it did dispute many), has no bearing on SEA’s *prima facie* showing that SM Line’s charging practices violate the Shipping Act. SM Line’s practice of charging SEA for inland demurrage and detention charges when SM Line (not SEA) was responsible for picking up and moving the containers was applied automatically and categorically to all of the invoices and charges at issue, without regard to whether SEA was responsible for any of the underlying delays, including whether or to what degree specific invoices were disputed at the time. *See* Dkt. 85, SEA Initial Brief, at 3, 31-32, 47, 50, and 79-80; Dkt. 108, SEA Reply Brief, at 58-78.⁴

To the extent that SM Line argues that its (non-existent) dispute resolution policy (or whether or to what degree specific invoices were disputed at the time) are alleged justifications or other “extenuating circumstances” under 46 C.F.R. § 545.5, it was SM Line’s obligation to have produced that information in discovery and developed that evidence. It has not done so. Even if SEA had maintained a list of every single email sent questioning the accuracy of a demurrage or

³ The FMC’s February 2024 Final Rule on Demurrage and Detention Billing Requirements is also instructive on this point. When discussing the proposed new requirement that shippers should request mitigations, refunds, or waivers within 30 days or receiving a detention and demurrage invoice, the Commission clearly stated “[n]othing in the final rule prevents a billed party from filing a complaint during the 30-day dispute deadline or prevents a billed party from filing a complaint with the Commission even though they did not dispute the charge with the billing party during the 30-day timeframe.” *Demurrage and Detention Billing Requirements*, 89 FR 14330, 14351 (emphasis added). The Final Rule on Billing Requirements reconfirms that Commission’s long-standing position that a charge need not be disputed in order to file a complaint under the Shipping Act.

⁴ Even if failure to dispute a charge constituted an affirmative defense, it is not among the affirmative defenses SM Line plead in its Answer.

detention charge, there is no record of any allegedly reasonable consideration or action by SM Line, in large part because SM Line systematically destroyed critical evidence even after being on notice of this proceeding. *See* Dkt. No. 78, SEA’s Motion to Compel and for Sanctions for Spoliation of Evidence, at 13-20. SM Line may claim that it had a dispute resolution practice, however, having destroyed the communications and records of the detention and demurrage decision-makers at SM Line’s Korea HQ, there is simply no evidence to support that alleged dispute resolution practices are legitimate justifications or other “extenuating circumstances” showing that its charging practices at issue here were reasonable.⁵

The Commission’s recent decision on remand in *TCW* is instructive on this point. Dkt. No. 1966(I), 2025 WL 516256, at *7-8. The Commission found that charging detention when the party responsible for moving the containers could not return them because the port was closed did not incentivize freight fluidity and that “[t]hus, the detention charges are likely unreasonable absent ‘extenuating circumstances’ or other ‘factors, arguments, and evidence’ that can establish reasonableness.” *Id.*, citing 46 C.F.R. § 545.5(c)(2)(ii), (f). The Commission then considered whether any of the “several ‘extenuating circumstances’ and justifications for its charges” advanced by respondents were sufficient to meet its burden to show that the charges were reasonable. *Id.* at 8-11. The Commission found that respondents failed to make that showing. *Id.* at 8 (“None of Respondent’s justifications, either individually or collectively, are sufficient to establish that Respondent’s charges were reasonable.”).

⁵ In any event, as revealed in this proceeding, SM Line was well aware of shipper complaints and regulatory challenges in connection with its demurrage and detention practices, but SM Line was not charging demurrage and detention to facilitate the movement of cargo. Rather, SM Line’s “actual internal objectives” for demurrage and detention were to “maximize income by recognizing it as an opportunity to generate additional income.” CX_004743-44, S.H. Kim Dep. Ex. 2; *see also*, Dkt. 85, SEA’s Initial Brief, at 28-29; Dkt. 134, SEA Supp. Brief, at 2-3).

SM Line's practices at issue here are analogous to the practices found unreasonable in *TCW*, but by an even greater force of logic. In *TCW*, the consignee temporarily could not move the containers in shipment specific situations when the terminals were closed, but here, SEA categorically could not move the containers because SM Line was charging SEA during the terminal and inland transportation period when SM Line was responsible to move the containers. If a carrier charging a party that is responsible to move containers, but when the carrier temporarily prevents the party from moving them, is likely unreasonable, then a carrier charging a party *not responsible to move containers* because the carrier is responsible to move them, is *a fortiori* likely to be unreasonable. Applying the appropriate Commission analysis under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 to the facts here, SEA has made a *prima facie* showing of unreasonableness. SM Line could attempt to offer container specific dispute resolution evidence in an attempt to show that its conduct was justified or constituted an "extenuating" factor, but it would be SM Line's burden to make that showing, which it has not done.

###

I, Christopher R. Nolan, counsel for Complainant SEA, declare under penalty of perjury under the laws of the United States, pursuant to 28 U.S.C. § 1746, that the foregoing is true and accurate. Executed on this 2nd day of April, 2025

/s/ Christopher R. Nolan
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Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 2nd Day of April 2025, the foregoing document was served via electronic mail on:

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